

SOFP shows Total Assets = Total Liabilities + Owner's Equity. This is known as The **Accounting Equation**

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From the above, it also follows, therefore, that Owner's Equity/ Capital = Total Assets – Total Liabilities. This is known as the **book value** of the business.

Typically however;

Total Assets can be broken down into

Non- current assets

(available for use in more than one accounting period/ benefits more than one accounting year)

- Tangible – like PPE, land & buildings, motor vehicles
- Intangible – such as Copyrights, Patents or Goodwill

Current assets

(are exhausted or change within the accounting period/ year)

- Stock/ inventory – can be
 - finished goods (ready for sale – say bread, pies)
 - work-in-progress (in a manufacturing company – for example dough in a bread-making factory), or
 - raw materials (say flour, sugar)
- Debtors/ accounts receivables (may be less provisions for doubtful debts/ bad debts)
- Bank
- Cash (the two can be also known as cash and cash equivalents – cash equivalents are;
 - Treasury bills.
 - Treasury notes.
 - Commercial paper.
 - Certificates of deposit.
 - Money market funds.
- Prepayments (amounts paid in advance such as rentals paid in advance to a landlord for a factory/ commercial building – they give a legal right to occupancy -

Total liabilities can also be broken down into

Non-current liabilities

(to be paid off in more than one accounting period/ over more than one year - for example a 5-year loan, Debentures, long-term bank overdrafts or some such financing facilities arranged for more than one period, deferred tax (this can also be an asset), long-term creditors, lease liabilities _ the long term portion)

Current liabilities

(fluctuate or are to be paid off within the accounting period/ year – such as the short term portion of leases, short-term bank overdrafts, accounts payables/ creditor (short term), accrual (expenses unpaid at the end of the accounting period), taxes due in the accounting period)

Owners equity/ capital can be broken down into

- **Ordinary share capital** (the owners of the company who are allowed to vote at Annual General Meetings (AGMs) of the company)
- **Preference share capital** (usually not allowed to vote at Annual General Meetings) – they receive a stated % of dividend BEFORE ordinary shareholders can be paid any dividend – hence the “preference”
 - Cumulative – any unpaid dividend in any one period accumulates and must be paid in the next accounting period
 - Non-cumulative – usually has a % of the preference dividend but does not accumulate if unpaid for some reason (the shareholders can exercise other remedies if they are unhappy with non-payment of the dividend)
- **Share Premium** – these amounts belong to the shareholders and arise when more than the nominal (face) value of the share is paid at an Initial Public Offering (IPO) of the shares or other share issue event
- **Reserves** (can be broken down into)
 - **Distributable reserves** – (dividends can be paid/ distributed out of these) - such as Retained Earnings/ retained profits or General Reserves (might be money set aside for a specific process / project– and can be moved back to retained earnings and used to pay a dividend)
 - **Non-distributable reserves** (no dividend may/can be paid out of these reserves) – such as a Revaluation Reserve (**see below #**), or a special legal reserve such as a Capital Redemption Reserve Fund – may be used by a company (when authorised at law) to buy back its own shares)
- *For group companies only the Non-Controlling Interest (NCI) forms part of the owners’ equity. NCI are minority shareholders*

So, when a company opts for the Revaluation model to account for PPE (non-current assets) the entry is

Debit the Asset

(to increase it to “market value” (this might be opposite in another period i.e. a credit of the asset if the market falls)

Credit the Revaluation Reserve

(to increase the owners equity – but since the non-current assets are not meant to be sold within the accounting period – this reserve is not available for distribution as a dividend as not money has come into the business.

Do further research on the concept of “capital maintenance”

FINANCIAL STATEMENTS

1. Statement of Profit or Loss and Other Comprehensive Income (SOI)

- Formula is Income less Expenses = which will result in a profit/ loss
- An income statement measures the income and expenditure of a business **over a period of time**, e.g. a month, a quarter or a year.
- It is drawn up for financial reporting purposes, correctly reporting the revenue and expenditure for the period, and shows the difference between revenue and expenditure as either **a profit** (where revenue > expenditure), or as a **loss** (where expenditure > revenue).
- The narration for this is “for the year ended at XX/XX/XXXX “

2. Statement of Financial Position (SOPF)

- Formula is Assets (total) less Liabilities (total)
- It is a snapshot/ picture on a particular day (usually the end of the year)
- The narration for this is “as at XX/XX/XXXX “

3. Cash Flow Statement (covers)

- Cash flow from operations (starting with the profit)
- Cash inflows/ outflows from **financing** activities
- Cash inflows/ outflows from investing activities
- Reconciled to the total “cash and cash equivalents” on the Balance Sheet (SOPF)

4. Statement of Changes in Equity

(expands the Owners equity/ capital side of the Balance sheet formula into two period to show movements in items (including reserves – to benefit the view of the owners/ shareholders and provide them with further details)

5. Notes – these are an integral part of financial statements and include things such as

- Accounting policies used in the preparation of the financial statements (including depreciation policies)
- Further details/ reconciliations of items on the face of any of the statements above which cannot be easily included on the face of these statements